



February 5, 2025

Representative Cody Maynard, Chair
2300 N. Lincoln Blvd., Room 341
Oklahoma City, OK 73105

Representative Rob Hall, Vice Chair
2300 N. Lincoln Blvd., Room 260
Oklahoma City, OK 73105

Representative Josh West
2300 N. Lincoln Blvd., Room 205
Oklahoma City, OK 73105

RE: Oklahoma HB 1012 – Computer Data Privacy Act – Oppose

Dear Chairperson Maynard, Vice Chairperson Hall, and Representative West:

On behalf of the advertising industry, we write to respectfully request that you decline to advance Oklahoma HB 1012, the Oklahoma Computer Data Privacy Act (“OCDPA”).¹ We provide this letter to express our non-exhaustive list of concerns about this bill. We and the companies we represent, many of whom do substantial business in Oklahoma, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. However, HB 1012’s provisions would starkly contrast privacy laws enacted in other states, establish counterproductive protections for Oklahoma consumers, and levy cumbersome requirements on businesses aiming to comply in good faith, failing to meet the stated aims of the bill. Because the bill would severely undermine Oklahomans’ access to the Internet’s vast benefits while imposing onerous consent requirements that would annoy and frustrate consumers, we ask you to refrain from advancing the bill as its currently drafted.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further on the specific issues we have with the bill outlined below.

I. The OCDPA Should Prioritize Harmonization with Existing Privacy Laws to Enhance Benefits for Consumers and Businesses Alike

In place of advancing HB 1012 as is, we encourage the legislature to consider a framework for data privacy that better aligns with privacy legislation enacted in other states. As drafted, the bill

¹ Oklahoma HB 1012 (Reg. Sess. 2025), located [here](#) (hereinafter, “HB 1012”).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#) (hereinafter, “Deighton & Kornfeld 2021”).

would include several requirements that were in the original California Consumer Privacy Act (“CCPA”), as passed in 2018. California has since significantly and substantively amended the state’s approach to privacy through several amendments to the law, a ballot initiative that replaced the original text of the law, and several rounds of implementation regulations. In addition, HB 1012’s proposed approach would stand in stark contrast to the approach taken in the majority of other states that have passed omnibus privacy legislation. Instead of advancing an out-of-date bill with terms that are out-of-step with most omnibus privacy laws, we encourage the Oklahoma legislature to amend the bill to resemble a more common approach, such as the approach reflected in the Utah Consumer Privacy Act (“UCPA”).³ In the current absence of a preemptive federal standard for data privacy, legislators must seriously weigh the costs to both consumers and businesses that will accrue from a patchwork of differing privacy standards across the states. Harmonizing with existing privacy laws is critical to minimizing costs of compliance and fostering similar privacy rights for all consumers.

Without amending HB 1012 to unify its approach with existing state privacy laws, like the UCPA, the costs to facilitate compliance with divergent state privacy requirements would be significant. To make the point: a regulatory impact assessment of the CCPA concluded that the initial compliance costs to California firms for the CCPA *alone* would be \$55 billion.⁴ Additionally, a recent study on a proposed privacy bill in a different state found that the proposal would have generated a direct initial compliance cost of between \$6.2 billion to \$21 billion, and an ongoing annual compliance cost of between \$4.6 billion to \$12.7 billion for companies.⁵ Other studies confirm the staggering costs associated with different state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion over a 10-year period and small businesses shouldering a significant portion of the compliance cost burden.⁶ Oklahoma should not add to this compliance burden for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

A. Opt In Consent for Collection and Sales of Personal Information Would Irritate and Overwhelm Consumers While Also Limiting Consumer Choice and Benefits

Oklahoma should not adopt an unreasonable one-size-fits-all opt-in consent requirement for the collection and sale of personal information.⁷ No other state has adopted this onerous approach to data collection and sales. Approximately 20 other states that have passed data privacy laws adopt an opt-out approach to personal data sales.⁸ The bill’s current consent requirement would hinder legitimate businesses of all sizes and harm Oklahoma consumers.

³ Utah Code Ann. § 13-61 et seq., located [here](#).

⁴ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations* at 11 (Aug. 2019), located [here](#).

⁵ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida* at 2 (Oct. 2021), located [here](#).

⁶ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located [here](#) (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

⁷ HB 1012 at Section 13(D), 16(A).

⁸ See, e.g., Utah Code Ann. § 13-61-204(4), Colo. Rev. Stat. § 6-1-1306(1); Del. Code §12D-106(e)(1); Va. Code Ann. § 59.1-577(A)(5).

Opt-in consent for collection and sale of personal information would drastically alter how consumers interact with the businesses they frequent on a day-to-day basis, leading to consent fatigue. This requirement will flood consumers with constant requests for their consent to carry out the most routine, essential, and expected data processing activities. These opt-in consent requirements would stifle competition and harm consumers by limiting their access to crucial online resources. We recommend that the legislature remove the opt-in consent requirements and instead advance bill language granting Oklahomans the right to opt out of sales of personal information.

B. The OCDPA Should Not Require Third Parties to Separately Obtain Consumer Consent to Sell Personal Information

The bill states that “[a] third party to whom a business has sold personal information... may not sell the information unless the consumer receives explicit notice of the potential sale and is provided the opportunity to, and in fact does, consent to the sale....”⁹ This provision is based on an old CCPA provision that has since been substantively changed to provide third parties with workable ways to surface opt-out options to consumers. As presently drafted, this out-of-date provision would restrict consumers from receiving myriad ad-supported digital products and services. It would also unreasonably burden third-party businesses and harm competition, as many small and medium-sized businesses rely on the third-party data ecosystem to survive, connect with consumers, and compete with larger players in the market, as described in more detail in Section II below. We encourage the legislature to strike this provision from the OCDPA.

II. The Data-Driven and Ad-Supported Online Ecosystem Benefits Oklahoma Residents and Fuels Economic Growth

Over the past several decades, data-driven advertising has created a platform for innovation and tremendous growth opportunities. One study found that the Internet economy’s contribution to the United States’ GDP grew 22 percent per year since 2016, in a national economy that grows between two to three percent per year.¹⁰ In 2020 alone, it contributed \$2.45 trillion to the U.S.’s \$21.18 trillion GDP, which marks an eightfold growth from the Internet’s contribution to GDP in 2008 of \$300 billion.¹¹ Additionally, more than 17 million jobs in the U.S. were generated by the commercial Internet in 2020, 7 million more than four years prior.¹² More Internet jobs, 38 percent, were created by small firms and self-employed individuals than by the largest Internet companies, which generated 34 percent.¹³ The same study found that the ad-supported Internet supported 56,164 full-time jobs across Oklahoma, more than double the number of Internet-driven jobs from 2016.¹⁴

⁹ *Id.* at Section 13(F).

¹⁰ Deighton & Kornfeld 2021 at 5.

¹¹ *Id.*

¹² *Id.*

¹³ *Id.* at 6.

¹⁴ Compare *id.* at 123-24 (Oct. 18, 2021) with John Deighton, Leora Kornfeld, and Marlon Gerra, *Economic Value of the Advertising-Supported Internet Ecosystem*, INTERACTIVE ADVERTISING BUREAU, 106 (2017), located [here](#) (finding that Internet employment contributed 25,737 full-time jobs to the Oklahoma workforce in 2016 and 56,164 jobs in 2020).

A. Advertising Fuels Economic Growth

Data-driven advertising supports a competitive online marketplace and contributes to tremendous economic growth. Overly restrictive legislation that significantly hinders certain advertising practices, such as third-party tracking, could yield tens of billions of dollars in losses for the U.S. economy—and, importantly, not just in the advertising sector.¹⁵ One study found that “[t]he U.S. open web’s independent publishers and companies reliant on open web tech would lose between \$32 and \$39 billion in annual revenue by 2025” if third-party tracking were to end “without mitigation.”¹⁶ That same study found that the lost revenue would become absorbed by “walled gardens,” or entrenched market players, thereby consolidating power and revenue in a small group of powerful entities.¹⁷ Smaller news and information publishers, multi-genre content publishers, and specialized research and user-generated content would lose more than an estimated \$15.5 billion in revenue.¹⁸ According to one study, “[b]y the numbers, small advertisers dominate digital advertising, precisely because online advertising offers the opportunity for low cost outreach to potential customers.”¹⁹ Absent cost-effective avenues for these smaller advertisers to reach the public, businesses focused on digital or online-only strategies would suffer immensely in a world where digital advertising is unnecessarily encumbered by overly-broad regulations.²⁰ Data-driven advertising has thus helped to stratify economic market power and foster competition, ensuring that smaller online publishers can remain competitive with large global technology companies.

B. Advertising Supports Oklahoma Residents’ Access to Online Services and Content

In addition to providing economic benefits, data-driven advertising subsidizes the vast and varied free and low-cost content publishers offer consumers through the Internet, including public health announcements, news, and cutting-edge information. Advertising revenue is an important source of funds for digital publishers,²¹ and decreased advertising spends directly translate into lost profits for those outlets. Revenues from online advertising based on the responsible use of data support the cost of content that publishers provide and consumers value and expect.²² And, consumers tell us that. In fact, consumers valued the benefit they receive from digital advertising-subsidized online content at \$1,404 per year in 2020—a 17% increase from 2016.²³ Another study found that the free and low-cost goods and services consumers receive via the ad-supported Internet amount to approximately \$30,000 of value per year, measured in 2017 dollars.²⁴ Legislative frameworks that inhibit or restrict digital advertising can cripple news sites, blogs, online encyclopedias, and other vital

¹⁵ See John Deighton, *The Socioeconomic Impact of Internet Tracking* 4 (Feb. 2020), located [here](#).

¹⁶ *Id.* at 34.

¹⁷ *Id.* at 15-16.

¹⁸ *Id.* at 28.

¹⁹ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 9 (2022), located [here](#).

²⁰ *See id.* at 8.

²¹ See Howard Beales, *The Value of Behavioral Targeting* 3 (2010), located [here](#).

²² See John Deighton & Peter A. Johnson, *The Value of Data: Consequences for Insight, Innovation & Efficiency in the US Economy* (2015), located [here](#).

²³ Digital Advertising Alliance, *Americans Value Free Ad-Supported Online Services at \$1,400/Year; Annual Value Jumps More Than \$200 Since 2016* (Sept. 28, 2020), located [here](#).

²⁴ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 2 (2022), located [here](#).

information repositories, and these unintended consequences also translate into a new tax on consumers. The effects of such legislative frameworks ultimately harm consumers by reducing the availability of free or low-cost educational content that is available online.

C. Consumers Prefer Personalized Ads & Ad-Supported Digital Content and Media

Consumers, across income levels and geography, embrace the ad-supported Internet and use it to create value in all areas of life. Importantly, research demonstrates that consumers are generally not reluctant to participate online due to data-driven advertising and marketing practices. One study found more than half of consumers (53 percent) desire relevant ads, and a significant majority (86 percent) desire tailored discounts for online products and services.²⁵ Additionally, in a recent Zogby survey conducted by the Digital Advertising Alliance, 90 percent of consumers stated that free content was important to the overall value of the Internet and 85 percent surveyed stated they prefer the existing ad-supported model, where most content is free, rather than a non-ad supported Internet where consumers must pay for most content.²⁶ Indeed, as the Federal Trade Commission noted in its comments to the National Telecommunications and Information Administration, if a subscription-based model replaced the ad-based model, many consumers likely would not be able to afford access to, or would be reluctant to utilize, all of the information, products, and services they rely on today and that will become available in the future.²⁷

Laws that restrict access to information and economic growth can have lasting and damaging effects. The ability of consumers to provide, and companies to responsibly collect and use, consumer data has been an integral part of the dissemination of information and the fabric of our economy for decades. The collection and use of data are vital to our daily lives, as much of the content we consume over the Internet is powered by open flows of information that are supported by advertising. We therefore respectfully ask you to carefully consider HB 1012's potential impact on advertising, the consumers who reap the benefits of such advertising, and the overall economy before advancing it through the legislative process.

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²⁵ Mark Sableman, Heather Shoenberger & Esther Thorson, *Consumer Attitudes Toward Relevant Online Behavioral Advertising: Crucial Evidence in the Data Privacy Debates* (2013), located [here](#).

²⁶ Digital Advertising Alliance, *Zogby Analytics Public Opinion Survey on Value of the Ad-Supported Internet Summary Report* (May 2016), located [here](#).

²⁷ Federal Trade Commission, *In re Developing the Administration's Approach to Consumer Privacy*, 15 (Nov. 13, 2018), located [here](#).



We and our members support protecting consumer privacy. We believe, however, that HB 1012 would overburden consumers with constant requests for consent—even for mundane, reasonable, and expected data practices—while simultaneously depriving Oklahoma consumers and businesses of the incredible benefits of the data-driven Internet. We therefore respectfully ask you to decline to advance the bill in its current form.

Thank you in advance for your consideration of this letter.

Sincerely,

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